

traded companies. Expand that to the top 0.50%, or 306 companies, and they account for 73% of global net wealth creation.

The best-performing 811 companies (1.33% of the total) accounted for ALL net global wealth creation. During that 1990–2018 period, those companies accounted for the entire net stock market appreciation of \$44.7 trillion, in excess of Treasury (e.g., riskless) returns. Outside the US, less than 1% of international equities generated \$16 trillion in capital appreciation, also in excess of Treasury returns.

Fewer than half of the stocks in the study—23,905—had cumulative positive returns. When added to the top gainers, these stocks generated \$66.6 trillion of wealth. However, a majority of stocks—37,195, or 60.90%—were net money losers, subtracting a \$21.83 trillion from the total. The total gains of winners minus losers netted out to that \$44.7 trillion figure.

Concentration of stock returns was not the original focus of the research; ironically, the study sought to determine how many stocks managed to outperform bonds over shorter time frames. The discovery of the intense market concentration seems to be a happy accident. The researchers found during shorter periods of time, about 56% of US stocks and 61% of international stocks underperform one-month US Treasury bills. In any given month, only 44% of US stocks and 39% of non-US stocks outperformed the accumulated returns of one-month Treasury bills over the full sample period of 29 years.^{[218](#)}

We can shrug at that data point: After all, stocks are long-term investments and we really shouldn't care very much about any given month's returns. It's the compounding, especially with dividends reinvested, that investors and savers should be thinking about. The obvious data point: The longer buy-and-hold investors retained their equities, the greater the outperformance relative to Treasury bills. It is about 1% for any one month on average, about 14% for a year, 95% for a decade, and a giant 260% for the 29-year sample period.